Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

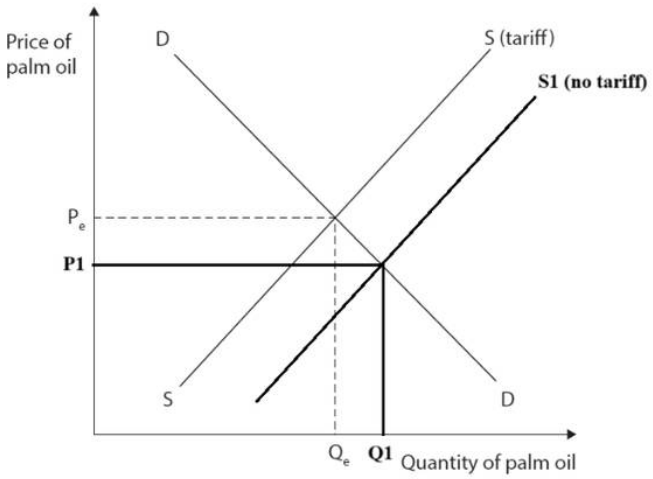
3(a)	**AO2 1 mark** The only correct answer is: **A** A Japanese car company buying an Indonesian car company B is not correct because this is an example of importing goods C is not correct because this is an example of domestic trade D is not correct because this an example of exporting goods	**(1)**

Question Number	How many US dollars ($) would it take to purchase £150? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** $187.50 A is not correct because this 0.80 x 150 B is not correct because this is 150 + 0.80 D is not correct because this is 150 + 80	**(1)**

Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a right shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers can access a wider range of goods and services from different countries including luxury items, exotic foods and digital products that were previously unavailable or expensive • Increased competition and economies of scale have led to lower production costs which in turn have reduced prices for many consumer goods, such as clothing, electronics and household items • As consumers have access to more and cheaper goods, their purchasing power has increased • This can lead to higher living standards, better health and improved quality of life • Globalisation has facilitated the transfer of knowledge and technology across borders • This has led to new innovations, such as smartphones, online entertainment and e-commerce	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A recession is two consecutive quarters of negative growth • During a recession households and firms tend to reduce their spending which results in lower demand for goods and services • This decrease in (aggregate) demand can lead to lower prices for goods and services • This could help to reduce Germany's 10.4% rate of inflation • Firms in Germany may experience lower production costs due to lower input prices such as lower wages or lower prices for raw materials • This can result in lower prices for goods and services and again help to lower inflation **AO4** • However, the effects of a recession on inflation may depend on the type of inflation Germany is suffering • Inflation can be caused by cost-push factors rather than demand-pull factors • Germany has been suffering from an energy crisis due to high gas and oil prices • This could feed through to higher production costs for firms resulting in higher prices and therefore high rates of inflation • The central bank may pursue an expansionary monetary policy during a recession by keeping interest rates low • This can lead to higher inflation even if economic growth is weak	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 1 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022. You are advised to show your working **Answer**	Mark

Type MS · Who gains and who loses from globalisation

Answer 2 of 8 · Question 4 part c · 12 marks

2020 JAN · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. $\frac{9 - 10}{10} \times 100$ **(1)** Award 1 mark for the correct answer. = -10% **(1)** Award 2 marks if the percentage change of -10% is accurately calculated with no workings shown Award 1 mark if % is missing i.e. -10 Do not award marks for the formula	**(2)**

Type MS · Who gains and who loses from globalisation

Answer 2 of 8 · Question 4 part c · 12 marks

2020 JAN · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Question Number	Indicative content	
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and the money supply to achieve price stability • An increase in interest rates may help to reduce the amount that consumers and firms borrow as the cost increases to take out loans, mortgages and to spend on credit cards • Higher interest rates may also encourage some consumers to save more thus reducing spending within the Kenyan economy • This may result in less demand-pull inflation within the Kenyan economy • A rise in interest rates may also increase the exchange rate in Kenya making imports cheaper for both consumers and firms • This may also help to reduce cost-push inflation in Kenya	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 2 of 8 · Question 4 part c · 12 marks

2020 JAN · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Globalisation is the increased integration and interdependence of economies • The flower industry is an important contributor to Kenya's GDP and provides employment opportunities for many with over 100,000 people employed in this industry • Higher levels of employment could result in an increase in living standards for the flower farmers and other employees who are indirectly employed at places like the airport • Due to exports from the flower industry, there should be greater tax revenue for the Kenyan Government, an increase in AD and lower unemployment • Globalisation could result in Kenyan workers in the flower industry having a greater choice of goods and services from the wages they earn on the flower farms **AO4** • However, the flower industry may cause damage to the environment from the use of water to grow the flowers which could result in lower standards of living for the workers and the local environment near Lake Naivasha • The cost of this would have to be paid for by the Kenyan Government • There could be environmental damage from the aircraft when the flowers are flown abroad which has to be paid for by society • There could be greater dependence on the flower industry and if global demand falls for flowers then many of the benefits from globalisation will not be achieved • The revenue from the flower industry may not filter down to the workers if the farms are owned by foreign investors • Often there are poor working conditions, including low pay and long hours, especially in the agricultural sector • The overall impact will depend upon how sustainable the flower industry is and if the benefits are shared by all members of the Kenyan economy

Type MS · Who gains and who loses from globalisation

Answer 2 of 8 · Question 4 part c · 12 marks

2020 JAN · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Who gains and who loses from globalisation

Answer 3 of 8 · Question 3 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** C wage rates	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** B Interest rates	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that there is greater consumer choice **(1).** US consumers are now able to buy imported avocados throughout the year from Mexico **(1)** and do not have to rely on production from the US **(1)** • One way is that there is more access to a wider range of products **(1).** Some food products such as avocados may not be available in other countries **(1).** Globalisation has thereby enabled a more varied diet for many consumers in the US **(1)** Accept any other appropriate response	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 3 of 8 · Question 3 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mondelez has been exporting its products to Bangladesh for 15 years and locating within the country may reduce transport costs • The labour costs might be lower in Bangladesh compared to other countries where Mondelez operates • Reducing costs may enable Mondelez to reduce prices for its food and beverage products • This could result in Mondelez gaining a competitive advantage over other MNCs in the same market • By locating within Bangladesh, Mondelez could reduce exchange rate fluctuations • Mondelez could also avoid trade restrictions by locating in Bangladesh	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 3 of 8 · Question 3 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A current account deficit occurs when the value of imports are greater than its exports • This could result in a leakage from the Indonesian economy as demand for imported goods replaced demand for domestically produced goods • This could result in an increase in unemployment and a fall in GDP in the long term • A current account deficit could indicate that there is less demand for exports which again could result in an increase in unemployment in Indonesia • There could be problems finding foreign reserves to fund the deficit as spending on imports is not being fully financed from export revenue **AO4** • However, this could result in higher standards of living as people have access to a wider range of good quality (cheaper) imports • The deficit could result in a fall in prices therefore reducing inflationary pressures in Indonesia • Over time there could be a fall in the exchange rate which could improve competitiveness for Indonesia's exports • Depends on the size and duration of the deficit as to the overall impact on the Indonesian economy	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 3 of 8 · Question 3 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 3 of 8 · Question 3 part c · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **A** 25% B is not the correct answer because this is 150-120 C is not the correct answer because this is 150-100 D is not the correct answer because this is not the increase in the rate of inflation	**(1)**

Question Number	Which **one** of the following is an impact of globalisation? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Closing of traditional industries A is not the correct answer because increased competition reduces prices C is not the correct answer because there should be greater choice D is not the correct answer because there should be reduced cost of communication	**(1)**

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** likely impact on UK tax revenue from rising unemployment rates. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may decrease **(1)**. Unemployed workers will have to rely on benefits **(1)** this means they do not pay income tax resulting in less tax revenue **(1)** • One impact is that indirect tax revenues may decrease **(1)**. With fewer people in employment, spending on goods/services may decrease **(1)** resulting in less tax for the UK Government **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse how business activity can damage the environment in a country such as Chile. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mining for lithium can cause many different types of pollution • These may include visual, noise, air and water pollution from the operation of the mines • Mining requires large amounts of water to process the lithium • This could result in a reduction of water in lakes so there is less water available for humans, wildlife and agriculture • This can cause damage to the local area from using so much water • Mining can result in large holes being dug which creates a visual impact for people in Chile • Roads might have to be built to transport the lithium from the mines to market, creating additional noise and air pollution for the people of Chile	**(6)**

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxes can be either direct or indirect • Lowering direct taxes such as income tax results in workers keeping more of their income from paid employment • Workers can then spend more on goods and services increasing consumption in the Spanish economy particularly in sectors such as tourism and commerce • Lowering indirect taxes such as VAT results in the price of goods and services falling which can lead to an increase in demand • These measures result in firms raising output and having to employ more workers to meet the increase in consumption • These new workers in turn have more to spend creating the incentive for firms to hire more workers • Unemployment should therefore be reduced in the Spanish economy **AO4** • However, taxes are the main source of income for the Spanish Government so reducing taxes could result in a fiscal deficit if this policy is unsuccessful • If consumer confidence is low, cutting taxes may not increase consumer spending as people prefer to save instead • There is no guarantee that people will spend the tax cuts on Spanish produced goods and could purchase imported goods resulting in a negative impact on the current account • The tax cuts could be inflationary if demand outstrips supply • It will all depend on the type of unemployment Spain is suffering from. Tax cuts are likely to be ineffective if Spain has structural and seasonal unemployment • There are currently 4 million unemployed so the effectiveness of reducing taxes may depend upon a range of factors within the Spanish economy	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 4 of 8 · Question 3 part b · 1 mark

2023 JAN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, **the rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working. **Answer**	Mark

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

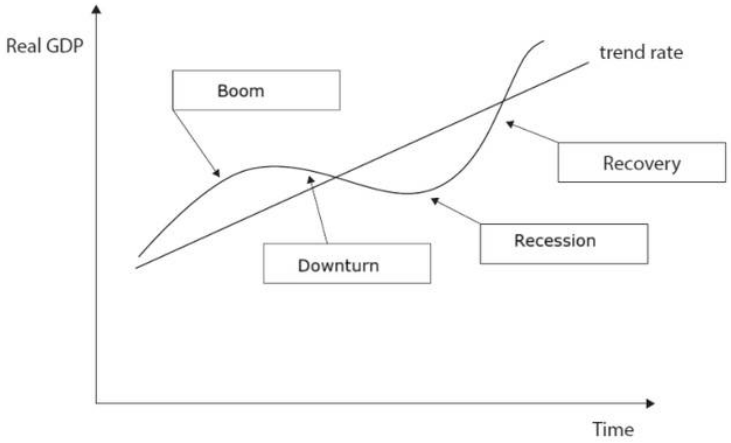
Number	Answer	
3(a)	**AO2 1 mark** The only correct answer is: **D** €100bn surplus A is not correct because this is calculated by adding the figures together and assumes a deficit B is not correct because this is €700bn-€800bn C is not correct because this is €800bn + €700bn	**(1)**

Question Number	Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** The cost of updates to the website due to higher prices for shoes A is not correct because this is a cost of production C is not correct because this describes shoe leather costs D is not correct because this is a cost of shopping online	**(1)**

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/Slump/Depression, labelled  	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Globalisation has opened new markets for producers to sell their goods and services to • This has created new opportunities for clothing producers in China and Bangladesh to expand their customer base and increase their sales revenue • It has enabled clothing producers to use cheaper labour and raw materials in China and Bangladesh • This has led to a reduction in production costs for clothing which has increased profitability for producers • Globalisation has enabled clothing producers to benefit from economies of scale • As production volumes of clothing increase the cost per unit decreases which can lead to lower prices for consumers and increased profits for the producers • Reduced costs of communication have occurred as technology has enabled producers to easily trade with other firms in the clothing supply chain	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A tariff is a tax on imported goods and services • The 16% tariff may have been introduced to protect the domestic tyre industry from foreign competition • By making imported tyres more expensive the tariff can make domestic tyres more competitive and help to support jobs in the domestic industry • The tariff may have been introduced to address trade imbalances • Brazil may be running a trade deficit therefore by increasing the cost of imports, the tariff can help to reduce imports • The 16% tariff may be to generate government revenue. The revenue generated from the tariff can be used to fund public services or pay off government debt **AO4** • However, tariffs can reduce competition in the tyre market as Brazilian producers have less incentive to improve quality and lower prices • This could lead to lower quality tyres being produced domestically and less innovation in the market • Other countries may respond to the tariff by imposing their own tariffs on Brazilian goods, leading to a trade war that could harm both countries' economies • This could lead to a decrease in the overall volume of trade and a reduction in economic growth • A tariff on imported tyres would likely result in higher prices for consumers • As the cost of imported tyres increases Brazilian tyre producers may also increase their prices leading to higher prices for all types of tyres	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 5 of 8 · Question 3 part d · 6 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working. **Answer**	Mark

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 1 of 7 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increased economic growth A is not correct because it is likely to create more job opportunities B is not correct because it will make it easier and cheaper for firms to trade internationally D is not correct because it can make it easier and cheaper for consumers to purchase goods and services	**(1)**

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 2 of 7 · find part a in this mark scheme extract

Question Number	Which **one** of the following types of unemployment is caused by changes in the business cycle? **Answer**	Mark
2(b)	**AO1 1 marks** The only correct answer is: **D** Cyclical A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs B is not correct because this occurs due to seasonal changes in the demand for labour C is not correct because this occurs when workers are in between jobs or transitioning to a new career	**(1)**

Question Number	State **one** possible impact of a current account deficit. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Leakage from the economy • Problems finding foreign currency reserves to fund the deficit • Can be inflationary • Increasing unemployment • Falling output/GDP Accept any other appropriate response	**(1)**

Question Number	What is meant by the term fines? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)** Accept any other appropriate response	**(2)**

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

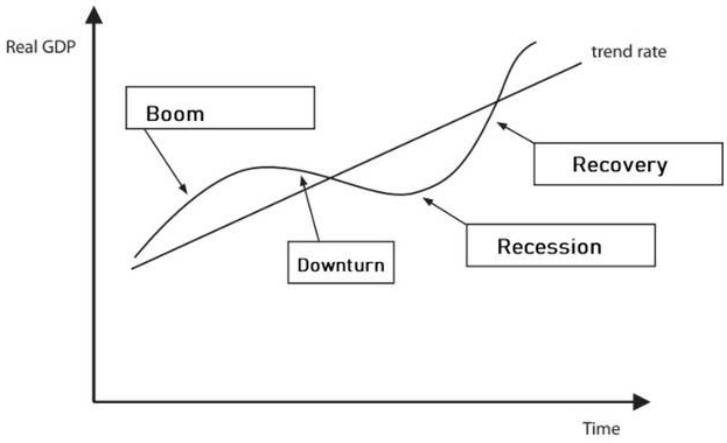
2024 JUN · Paper 02 · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** way progressive taxation can help to reduce poverty for a country such as the US. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)** • It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)** Accept any other appropriate response	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recovery, labelled  	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 5 of 7 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Subsidies are payments by the government to suppliers that reduce their costs • Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives • The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines • Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits • Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China • It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies **AO4** • However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term • Subsidies can be expensive for the US Government and may divert funds away from other important priorities • Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies • There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US • Therefore, this may make the use of subsidies an inefficient use of resources by the US Government	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 6 of 8 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 7 of 7 · find part a in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** Appreciation B is not correct because this is when there is a fall in the value of the exchange rate C is not correct because this is when a government fixes a new higher exchange rate D is not correct because this is when a government fixes a new lower exchange rate	**(1)**

Question Number	Which **one** of the following is a reason for why there is protection for international trade? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** To protect domestic jobs A is not correct because trade protection aims to stop dumping B is not correct because trade protection reduces free trade D is not correct because trade protection should help to reduce the current account deficit	**(1)**

Question Number	State **one** possible impact of globalisation on consumers. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Rising living standards • Greater choice • Lower prices • Dangerous products Accept any other appropriate response	**(1)**

Type MS · Who gains and who loses from globalisation

Answer 7 of 8 · Question 2 part c · 1 mark

2024 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

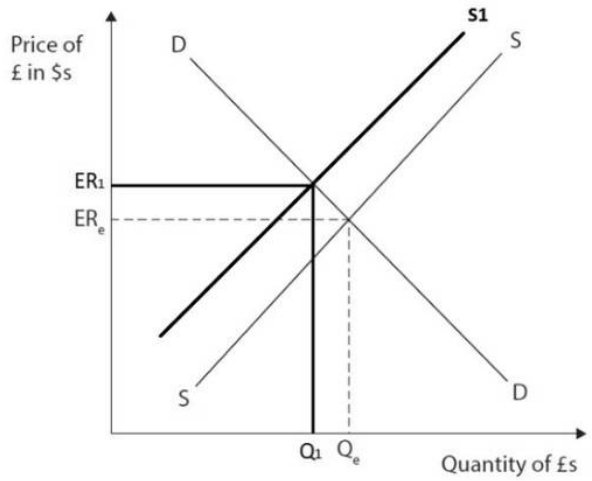
Question Number	What is meant by the term asset purchasing? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When a central bank buys government bonds/financial assets **(1)** from commercial banks **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that environmental protection can increase the cost of doing business **(1).** Firms may need to invest in new equipment/technologies to reduce emissions **(1)** which may result in slower economic growth **(1)** • One reason is that more environmental protection such as restrictions may limit business activity **(1)** to reduce emissions/pollution from factories **(1)**, which could lead to lower economic growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 7 of 8 · Question 2 part c · 1 mark

2024 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a lower equilibrium quantity, labelled  **Figure 3**	**(3)**

Type MS · Who gains and who loses from globalisation

Answer 7 of 8 · Question 2 part c · 1 mark

2024 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Structural unemployment is caused by a mismatch between the skills that workers in the economy can offer and the skills demanded of workers by employers • In the case of the introduction of AI, this could be caused by the introduction of new technology • AI can perform repetitive and routine tasks more efficiently and accurately than humans • As a result, jobs that involve tasks like data entry, basic coding or even certain aspects of journalism may be automated, leading to the replacement of workers in these industries • This can contribute to higher levels of structural unemployment rates among workers in these types of job roles which can be seen in the planned job cuts at IBM and BT • Some workers may not have the necessary skills for the new jobs being created in the AI and technology sector resulting in an increase in structural unemployment **AO4** • However, while AI can eliminate certain jobs, it can also create new job opportunities • For example, the development, maintenance and running of AI systems require skilled IT professionals • New industries and job roles related to AI and technology may emerge potentially absorbing some of the unemployed workers • AI can boost productivity and efficiency in various sectors potentially leading to economic growth • A growing economy can create more job opportunities in non-routine and creative roles that are less susceptible to AI • AI and new technology have enabled an increase in remote work/working from home which can expand job opportunities for individuals	**(9)**

Type MS · Who gains and who loses from globalisation

Answer 7 of 8 · Question 2 part c · 1 mark

2024 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Who gains and who loses from globalisation

Answer 7 of 8 · Question 2 part c · 1 mark

2024 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is an advantage of a government giving subsidies to domestic producers? **Answer**	Mark

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage of the population employed on small cocoa farms $\frac{867{,}000}{34{,}532{,}935} \times 100$ **(1)** = 2.51% **(1)** Award 2 marks if the correct answer is 2.51% even if no calculations are shown Award 1 mark if the answer given is 2.51 even if no calculations are shown No marks for formula	**(2)**

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The new 67km highway improves trade by making it cheaper and quicker to move goods around Ghana and to neighbouring countries • Building the 31.2km section of the highway creates jobs for people directly in construction and indirectly in other areas like road maintenance and services • The highway helps bring different parts of Ghana closer together, making it easier for people and firms in different regions to work together • Better roads mean people and firms can travel more easily, saving time and money and leading to a better standard of living • Local firms in areas connected by the highway can reach more customers and grow, boosting the local economy • Investing in roads is good for the country's long-term growth, making it easier for businesses to operate and helping Ghana's economy be more competitive	**(6)**

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible benefits of globalisation for cocoa farmers in Ghana. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Globalisation allows cocoa farmers to sell to a broader market, potentially getting better prices for their cocoa • Higher demand from international markets can lead to increased revenues for farmers and a higher standard of living • Exposure to global markets can lead to better farming techniques and tools, improving output and quality • Globalisation can attract investment in cocoa farming infrastructure and processing facilities in Ghana • Cocoa farmers can learn new farming methods and business practices from international partners • Access to global markets might encourage farmers to grow different crops or invest in different areas, reducing the risk of having just one crop **AO4** • However, prices in global markets can fluctuate wildly based on international demand which can make income unpredictable for cocoa farmers • With a focus on exporting cocoa due to global demand, the country might become too dependent on one crop, risking economic instability if cocoa prices fall or if the crop fails • Cocoa farmers might be exploited by large corporations, receiving only a tiny fraction of the final product's value • This leads to the situation highlighted by Oxfam, where the majority of cocoa farmers live in poverty despite their hard work • Global markets often demand high-quality products, which might be challenging for some farmers to meet consistently without adequate support or investment • Cocoa farmers must compete not just with local but international cocoa producers, which can be challenging, especially for smaller or less technologically advanced farms • Benefits of globalisation might not be evenly distributed, leading to greater economic differences within communities	**(12)**

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Who gains and who loses from globalisation

Answer 8 of 8 · Question 4 part c · 12 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

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